
UNIT 27 NON-PERFORMING ASSETS (NPAs)

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27.0 OBJECTIVES

By going through this unit, you will be able to:

- explain the concept of non-performing assets;
- identify the different kinds of NPAs;
- indicate the magnitude of NPAs in Indian Banks;
- identifying major causes of NPAs;
- describe the impact of NPAs on various sectors of the economy;
- highlight the role of RBI in NPAs;
- analyse the measures taken to tackle the problem of NPAs; and
- suggest measures for having effective policies for solving the menace of NPAs.

27.1 INTRODUCTION

The banking industry is a lending institution that helps millions of people get sufficient funds to carry out their operations. The banks are responsible for building financial stability in the nation. Over the world, NPAs in the banking sector are growing. NPAs are found to be at the centre of the economic problem of the banks.

NPAs refer to the classification used by financial institutions for loans and advances that are in default or arrears. A loan is in arrears when the principal is due, or interest payments are late, or missed. NPAs can be classified as substandard assets, doubtful assets, or loss assets depending on the length of time overdue and the probability of repayment. It is important for both the borrower and the lender to be aware of performing versus non-performing assets.

Banks improve the allocation of resources by lending money to priority sectors of the economy, but non-performing loans assume critical importance since they reflect the asset quality, credit risk and efficiency in the allocation of resources to productive sectors. The level of NPAs creates serious concern for the stability of the banking system. The financial health of the economy is deteriorating due to an upsurge in credit defaulters in the country.

NPAs can be manageable. It depends on its magnitude and its past due period. In the short term, banks can tolerate a good amount of NPAs. A healthy financial sector is necessary for the growth of the economy. A profitable banking sector also has more capacity to absorb shocks and provide relative stability to the economy. The increasing trend in NPAs is testing banks' strength and resilience (Guar & Mohapatra, 2020). The accumulation of NPAs in India cannot be attributed to a single event nor can it be confined to a particular timeline. The growth rate in the NPA level shows that the problem is evident not only with small-sized banks but also with major banks.

In this unit, we focus on various aspects of NPAs such as nature, growth and magnitude of NPAs, factors responsible for NPAs, and impact of NPAs on the economy. Policy measures taken by the authorities have also been analysed along with suggestions for prevention of NPAs.

27.2 PROFILE OF NON-PERFORMING ASSETS IN INDIA

The NPAs refer to a class of loans or advances that are in default or arrears. For measurement purposes NPAs are classified into the following two types:

- i) *Gross NPAs*: This indicates the absolute amount of the total value of loans that are due within 90 days in a particular quarter or financial year.
- ii) *Net NPAs*: This indicates the net value of NPAs after the bank makes specific provisions for it. It is arrived at by subtracting the doubtful and unpaid assets from the gross NPAs.

The above distinction reflects the quality of loans made by banks. Gross NPAs Ratio = Gross NPAs/Gross Advances. Net NPAs are those types of NPAs in which the banks deduct the provisions regarding NPAs. It shows the actual burden of banks.

$$\text{Net NPAs} = \text{Gross NPAs} - \text{Gross Advances} - \text{Provisions}$$

Gross NPAs is an absolute amount which is considered irrecoverable and shows the total value of NPAs for the bank in a particular financial year. On the other hand, Net NPAs provide the exact value of NPAs after making specific provisions for the particular asset. NPAs are listed on the balance sheet of a bank or lender. A loan can be classified as an NPA at any point during the term of the loan or at its maturity. Banks usually provide a grace period before classifying an asset as non-performing. Until and unless the loan asset is generating regular income with the expected usual commercial risk, that asset is known as a performing asset. If it fails to generate the expected revenue, then it is identified as an NPA.

We must distinguish that all the performing assets of a bank are known as *standard assets*. Such standard assets are not treated as NPAs because such assets have a distinctive risk profile and do not require any supplementary provisions.

27.2.1 Nature of Non-Performing Assets

A loan is said to be in arrears when the principal amount or interest payments are late or missed and a loan is in default when the lender considers the loan agreement to be broken and the debtor is unable to meet the obligations. You should note that NPAs are recorded on a bank's balance sheet only after a prolonged period of non-repayment by the borrower.

Considering the nature of NPAs, the RBI has categorized them into three broad categories depending on the period of default. Banks are required to classify NPAs into one of three categories according to how long the asset has been nonperforming: sub-standard assets, doubtful assets, and loss assets. Let us define these categories.

- i) **Sub-Standard Asset:** Any loan or advance is a sub-standard asset if it remains outstanding or NPA for a period less than or equal to 12 months.
- ii) **Doubtful Asset:** Any loan or advance is a doubtful asset if it remains outstanding or NPA for more than 12 months and is already classified as a sub-standard asset.
- iii) **Loss Asset:** Any loan or advance is a loss asset if it remains *uncollectible* or has little to no recovery value, as its continuance as a bankable asset is un-suggestible. Therefore, the bank may consider some recovery value left in it as the asset has not been written off wholly or in parts. Given this situation, banks are forced to accept that the loan will never be

repaid, and must record a loss on their balance sheet. The entire amount of the loan must be written off completely.

Although the most common NPAs are term loans, there are other forms of NPAs as well (Naveen J., 2022):

- i) Overdraft and cash credit (OD/CC) accounts left out-of-order for more than 90 days.
- ii) Agricultural loans/advances that are approved for short-period crops may also be treated as NPA if the instalment of principal or interest thereon remains unpaid for two crop seasons. On the other hand, if a loan is approved for long-period crops, it may be treated as NPA, if the instalment of principal or interest thereon remains unpaid for one crop season.
- iii) Expected payment on any other type of account is overdue for more than 90 days.

A loan becomes a non-performing asset after 90 days of non-repayment of loans. After non-payment, the bank asks the borrower to liquidate any assets or mortgage as a part of the loan agreement. If the borrower does not pledge any assets, then the bank may write off the loan as bad debt and sell it to a 'bad bank' (for example, National Asset Reconstruction Company Limited (NARCL)). The bad banks aim to ease the burden on banks by taking the bad loans off their balance sheet. The NARCL is a public-sector asset reconstruction company in India. It is established to acquire and aggregate NPAs.

27.2.2 Magnitude and Trend of NPAs

It was only in the mid-1990s; post the economic liberalization when the country entered into the new millennium that the banks realized the sudden compounding of bad loans. The NPA situation essentially propelled in the mid-2000s following over-optimism in the economy specifically between 2006 and 2008, on the back of strong economic growth and pending infrastructure projects completed on time and within specified budgets, a thing largely unheard of till then (Palli, 2020).

The fact that the Gross NPA ratio (defined as the ratio of Gross NPA to total assets) of scheduled commercial banks was more than 11 per cent in March 2018 (more than 14 per cent in the case of public sector banks). Over time, however, this ratio has declined. It was placed at a much better 8.2 per cent in March 2020 and 7.3 per cent in March 2021. In March 2024 the Gross NPA ratio was 2.8 per cent, according to the Financial Stability Report (FSR) of the RBI.

The occurrence of fraud as a proportion of the gross advances of PSBs dropped from a peak of 1.32 per cent during the financial year 2013-14 to 0.05 per cent during the financial year 2021-22. The improved detection and

reporting accompanied by the comprehensive steps taken to check frauds have resulted in a decline in the occurrence of such frauds (ET Bureau, 2022).

Credit is required for faster growth of the economy but any kind of macroeconomic shock can impact those outstanding advances badly and may turn them non-performing. According to the RBI, total net NPAs as of March 31, 2022 amounts to ₹204,225.90 crore. The share of public sector banks in these NPAs stood at 75.75 per cent. The rest pertains to the private sector and foreign and small finance banks. See Table 27.1.

Table 27.1: Net NPAs in Indian Banks as of March 31, 2022

(Amount in ₹ Crores)

Banks	Net NPAs	Percentage
Public Sector Banks	154745.39	75.75
Private Sector Banks	43733.24	21.44
Foreign Banks	3022.72	1.48
Small Finance Banks	2724.55	1.33
Total	204225.90	100.00

Source: RBI's Statistical Tables Relating to Banks in India 2022.

Movement of non-performing assets (NPAs) of scheduled commercial banks

<https://dbie.rbi.org.in/BOE/OpenDocument/1608101727/OpenDocument/opendoc/openDocument.faces?logonSuccessful=true&shareId=2>

Due to increasing loan failures, the share of non-performing advances has increased substantially. The pace of credit defaulters has been rising due to a lack of proper monitoring and verification. The big corporate individuals make use of flaws in the law and fly away with the money of banks. There was a huge increase in NPAs in the fiscal year 2017-18 after that there was a decrease in NPAs (Jain *et al.*, n.d.).

It has been observed that a major portion of NPAs is contributed by several top industrialists — a dirty dozen in the case of India. Generally, the NPAs in agriculture and the priority sector are comparatively lower than that of the corporate houses (Sikdar, 2020). Most of the current NPAs originated during the mid-2000s, during a period of high economic growth and positive business outlook. This led to an easy flow of credit. The impact of ownership (public and private sector banks) significantly influences the gross and net NPAs. The NPAs of public sector banks were higher than that of private sector banks.

After the global financial crisis of 2008, the Indian economy stagnated and so did the repayment capacity of these businesses. This contributed to what is

now known as India's Twin Balance Sheet (TBS) problem, where both the banking sector (that gives loans) and the corporate sector (that takes and has to repay these loans) have come under financial stress. The twin balance sheet problem refers to a situation where the borrower (corporate sector) is under stress due to high debt, and the lender (banks) is under stress due to non-repayment of loans (NPAs). The balance sheets of both the borrower and the lender have problems.

Most banks follow Early Warning Systems (EWS) for recognition of probable NPAs, but the actual procedure followed varies from bank to bank. Under this system, the banks monitor and track the portfolios of their customers regularly. The EWS helps the banks to check the asset quality of the borrowers (corporate firms). The EWS (software) helps the banks to identify signs of distress which is not possible to check manually.

As regards the decline in NPAs Chandrasekhar (2022) has rightly commented that "this may have occurred partly through the use of write-offs that erode the capital base of banks and also because of the time-bound moratorium on debt repayments announced as part of measures to address the effects of the pandemic on small units and other selected borrowers. In such circumstances, even though lending to micro, small and medium enterprises was partly guaranteed by the government, a rise in the NPAs ratio and further erosion of bank capital seems inevitable."

27.2.3 Major Causes of NPAs

Accumulation of NPAs is a recurring attribute of financial crisis and financial stress as NPAs typically grow when a credit boom turns into a bust. Several factors affect the profitability of the banks. The factors can broadly be categorised into bank-specific and macroeconomic factors (Das & Uppal, 2021).

- i) The bank-specific factors are:
 - a) non-performing advances,
 - b) deposits,
 - c) non-interest income,
 - d) interest income,
 - e) operational efficiency, and
 - f) capital adequacy.
- ii) The macroeconomic factors are:
 - a) GDP growth,
 - b) rate of inflation, and
 - c) interest rate.

The following are major reasons for the emergence and continuance of NPAs in India (Naveen J., 2022):

- i) From 2000-2008, the Indian economy was in a boom phase and banks, especially public sector banks, started lending extensively to companies.
- ii) With the financial crisis in 2008-09, corporate profits decreased and the Government banned mining projects. The situation became serious with the substantial delay in environmental permits, affecting the infrastructure sector – power, iron, and steel.
- iii) Taken together all these factors resulted in a rise in prices of raw materials and a shortage of supply.
- iv) Moreover, the relaxed lending norms adopted by banks and foregoing analysis of the financials and credit ratings, especially of the big corporate houses.
- v) Due to the absence of:
 - a) credit information bureau,
 - b) poor lending strategies and low scrutiny by banks,
 - c) wilful defaults,
 - d) economic slowdown and government policies,
 - e) inadequate risk and supervision,
 - f) lack of adequate capital,
 - g) low level of technology,
 - h) dishonest and poor credit documentation,
 - i) concentration in few customers/groups,
 - j) corruption, political and government interventions etc.

There have been frauds of high magnitude that have contributed to rising NPAs. The top management of the banks was forced by politicians and bureaucrats to throw good money after bad in the case of unscrupulous borrowers. (Selvarajan, & Vadivalagan, 2013). Several bad loans were advanced by the banks often by compromising due diligence.

In short, the reasons for growth in NPAs range from bank-specific to government policies. The factors that affect NPAs are kinds of advances, the credit value of borrowers, collateral securities, the absence of legitimate observation, inadequacy and inaccuracy in the credit assessment standards that have been set, the death of potential earning members in the family and the absenteeism of entrepreneurial information and sense on the borrower's part (Singh & Arora, n.d.).

It is important to remember that business units engaged in infrastructural activities, base metal, textile, food processing, chemical, engineering etc. failed to make repayment of interest and principal amount on their loans and advances. Negligence and ineffectiveness of recovery tribunals etc. The NPA levels for some banks crossed the 20 per cent level. This meant that banks reached negative capital levels. In other words, the true value of bank deposits was below par.

Check Your Progress 1

- 1) Explain the nature of NPAs in India.

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- 2) How are NPAs recorded in Banks' Balance sheets?

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- 3) Highlight the magnitude and trend of NPAs in recent years.

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- 4) What are Early Warning Systems (EWS) for the recognition of probable NPAs?

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- 5) Explain the concept of a Twin Balance Sheet (TBS).

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27.3 APPROACH OF RBI TOWARDS NON-PERFORMING ASSETS

The RBI took a simple but holistic approach to empower the banks. With the help of the Securities Exchange Board of India (SEBI), in 2015 the RBI introduced the 'Strategic Debt Restructuring Scheme'. The objective of the scheme was to help financial institutions in recovering loans by taking over

distressed companies. This gave the banks substantial power in the management of companies, which defaulted in repaying the borrowings (Palli, 2020).

For tackling the problem of NPAs, the RBI in 2019 issued fresh guidelines. According to these guidelines, defaults are to be recognized within 30 days. During this 30-day period, lenders may decide on the resolution strategy, including the nature of the resolution plan and its implementation. All lenders must put in place board-approved policies for the resolution of stressed assets, and it is expected that the lenders initiate the process of implementing a resolution plan even before a default. Further, the lenders shall report credit information on all borrowings aggregating over ₹ 50 million and submit a weekly report on any default. If a resolution plan is to be implemented, the lenders shall enter into an inter-creditor agreement (Palli, 2020).

The RBI has come up with stringent norms so that the growth of NPAs can be put under control. The Insolvency and Bankruptcy Code of 2016 plays an important role in the recovery of assets of those creditors whose case has been filed with the National Company Law Tribunal (NCLT). Only time will tell how successful has the RBI been in controlling the NPA growth in the sector (Agarwala & Agarwala, 2019).

The RBI has underlined regulatory changes in India in recent years. These range from a prudential asset-liability management framework for domestic banks and curbs on total leverage to the systematic plugging of regulatory arbitrage between banks and other financial entities. Recently, RBI Governor cautioned banks against any build-up of asset-liability mismatches, saying both are detrimental to financial stability and hinted that the ongoing crisis in the US banking system seems to have emanated from such mismatches. He emphasised the fact that the ongoing US banking crisis also clearly shows the risks of private cryptocurrencies to the financial system (The Hindu Business Line, March 17, 2023).

The RBI has been taking a series of measures to strengthen Indian banks and the financial system as a whole. Depositors should repose faith in its ability to safeguard their interests. But in the long term, it is the full implementation of international standards in regulation, supervision, governance, resolution and deposit insurance that will best help convince the markets of the stability of the banking system.

27.4 IMPACT OF NON-PERFORMING ASSETS

A strong banking sector is important for the Indian economy. The failure of the banking system may hurt other sectors. The rising NPAs are a cause of concern. It on the one hand reduces their interest earning and, on the other hand, also affects their future deposits and increases their operating cost as the cost of recovery of NPAs will go up. NPAs generate a vicious cycle of effects on the sustainability and growth of the banking system, and if not managed properly could lead to bank failure (LSS, 2014). For the bank or

lender, interest earned on loans acts as a major source of income. NPAs place a financial burden on the lender. A large volume and significant number of NPAs over some time is an indication of the fact that the bank is in jeopardy. This situation makes RBI, the regulator, aware of the weakening financial fitness of the bank.

NPAs hurt the rate of profit of the Indian banks. NPAs negatively affect banks' ability to generate income and profitability. As such, it is incumbent on banks to keep constant track of their NPAs to avoid adverse effects on their liquidity and capacity to grow. If the volume of NPAs continues to increase over some time, it can threaten the financial health of the bank.

Higher NPAs influence the price of loans and interest rates, which in turn affects the confidence of investors, lenders, and depositors equally. While higher interest rates will directly impact the investors in need of loans for the creation of infrastructural and industrial projects, they also cause poor recovery of funds, which will affect the credit creation and revenue stream of the banks. The non-recovery of loans affects credit creation and further affects the financial soundness of an economy (Hafsal et al, 2020).

There is a positive relation in the banking industry between total income and gross NPAs, whereas a negative relation is in the case of total profit and gross NPAs. This means that with an increase in total income, there is an increase in NPAs on the contrary there will be a decrease in profit with an increase of NPAs (Jain et al n.d.). NPAs have a significant negative impact on the profitability of scheduled commercial banks measured in terms of return on assets and return on equity.

It enhances the risk of credit default and even affects the image of banks in the nation. Lender's reputation is decreasing due to the continuous increase in the defaulters, not paying back the bank's money on time. The overall reputation of the banks is at stake due to increased NPAs and the upsurge in the number of depraved loans (Jain, et al, n.d.)

The rise in NPAs occurred with the deterioration of the balance sheets of non-financial firms, and this twin balance sheet crisis contributed significantly to the deceleration of growth in the late 2010s. NPA write-offs do erode the capital base, which has been only partially neutralised in the case of public sector banks by the government's recapitalisation effort (Chandrasekhar, 2022).

NPAs increase borrowing costs for the general public, because banks may increase their lending interest rates to maintain balance in their costs and profits. A rise in NPAs beyond the risk threshold can have significant effects on the stability of the banks, reducing consumer confidence in the functioning of these banks. In general, NPAs affect the morale and confidence of all the stakeholders associated with the operation of banks. The challenge of NPAs has made the banks risk-averse. They hesitate to extend